THE MASTERMIND COACHING CLASSES

Revision Notes

Class 10 · Social Science

Political Science, Economics (Ch 16-21) · CBSE / RBSE Syllabus

HOW TO USE THESE NOTES

Each chapter follows the textbook's own order of sections, so you can read straight through. Bold words are keywords you must be able to define. Tables compare and classify; shaded boxes hold definitions, formulas and key facts. The navy Key Takeaways box at the end of every chapter is your last-two-minutes revision.

CH.	CHAPTER TITLE	CORE THEME
16	Political Parties	Functions, types and party systems, national and state parties, challenges and reforms
17	Outcomes of Democracy	How to judge democracy: accountability, growth, inequality, diversity and dignity
18	Development	Developmental goals, income and other criteria, HDI and sustainability
19	Money and Credit	Money as a medium of exchange, banks, formal and informal credit, self-help groups
20	Globalisation and the Indian Economy	MNCs, foreign trade, liberalisation, WTO and the impact of globalisation
21	Consumer Rights	Consumer exploitation, consumer movement, rights, redressal and awareness

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CHAPTER 16 · POLITICAL SCIENCE · CH 4

Political Parties

Political parties are the most visible institutions in a democracy and the ones people trust least. This chapter explains what a party is, its functions, how party systems differ, which parties are national and state parties in India, what challenges they face and how they can be reformed.

Big Questions

- Why do we need political parties?
- How many parties are good for a democracy?
- Which parties are national or state parties?
- What are their challenges and reforms?

Meaning and Functions

DEFINITION

A **political party** is a group of people who come together to contest elections and hold power in the government. They agree on some policies and programmes for the society with a view to promoting the collective good.

A party has three components: **leaders, active members and followers**. It reflects fundamental political divisions in a society; parties are about a part of the society and thus **partisan**.

Function	What the party does
Contest elections	Candidates are put up by parties; in India, usually chosen by top party leaders; in the USA, by members and supporters
Put forward policies and programmes	Voters choose from them; parties group issues and propose them as programmes
Make laws	Laws are debated and passed in the legislature; most members belong to a party and follow its direction
Form and run governments	Executives are selected from the ruling party; the party gives policy direction
Play the role of opposition	Parties that lose elections criticise the government, mobilise opposition and voice views
Shape public opinion	Raise issues and launch movements; many pressure groups are offshoots of parties
Provide access to government machinery and welfare schemes	Local party workers act as a link between people and the government

Necessity: Without parties, every candidate in elections would be independent; no one could make any promises to the people about major policies, and the government would be formed without a clear direction. A modern democracy needs parties as representative democracy works at a large scale, with different views to be brought together.

Party Systems

System	Description	Examples
One-party	Only one party is allowed to control and run the government	China (Communist Party)
Two-party	Power usually changes between two main parties; others win few seats	USA, UK
Multi-party	Several parties compete for power; coalition governments; in India, parties form **alliances**, such as the National Democratic Alliance, the United Progressive Alliance and the Left Front in the 2004 Lok Sabha elections	India

No system is ideal for all countries; India's multi-party system suits its social and geographical diversity. It may look messy and lead to political instability, but it allows a variety of interests and opinions to enjoy political representation.

National and State Parties

- The **Election Commission of India** registers parties and gives them recognition as a national or state party. A **recognised party** is given a symbol and facilities.
- A party that secures at least **6 per cent of the total votes in Lok Sabha or assembly elections in four states and wins at least four seats in the Lok Sabha** is a **national party**; alternatively, 2 per cent of Lok Sabha seats from at least three states, or recognition as a state party in four states.
- A party that secures at least **6 per cent of votes in an assembly election and wins at least two seats** is recognised as a **state party** (alternatively, 3 per cent of seats or three seats).

National party	Founded	Key ideas
Indian National Congress (INC)	1885	One of the oldest parties; secularism, welfare and liberal democracy; formed governments for most years after independence
Bharatiya Janata Party (BJP)	1980	Cultural nationalism and integral humanism; a stated aim of a uniform civil code; earlier limited to the north, west and urban areas, its support spread to the south, east, north-east and rural areas from the 1990s
Bahujan Samaj Party (BSP)	1984, Kanshi Ram	Represents Bahujan samaj (dalits, adivasis, OBCs, religious minorities); social justice
Communist Party of India (Marxist) (CPI-M)	1964	Marxism-Leninism, secularism and democracy; supports socialism, opposes imperialism and communalism; strong in Kerala, West Bengal, Tripura
National People's Party (NPP)	2013	Recognised as a national party in 2019 from Meghalaya, in the North-east
Aam Aadmi Party (AAP)	2012	Anti-corruption, clean politics; given national status in 2023

NOTE

National party status is reviewed after elections by the Election Commission, so the list changes. The list above is as per the Commission's recognitions of 2023; check the latest Commission notification. Parties such as the Trinamool Congress, NCP and CPI lost national status in 2023.

- **State parties** are those recognised in a state, e.g. Samajwadi Party, RJD, DMK, AIADMK, BJD, Shiv Sena, TDP; some started as regional parties and later expanded; the number of state parties has increased and they play an important role in coalition governments.
- Regional parties have grown in number and strength; no single national party won a majority in the Lok Sabha until 2014, so national parties had to form alliances with state parties, and since 1996 nearly every state party has been part of some coalition government at the Centre.

Challenges to Political Parties

1. **Lack of internal democracy:** all over the world there is a tendency in parties towards the concentration of power in one or a few leaders at the top. Parties do not keep membership registers, do not hold organisational meetings and do not conduct internal elections.
2. **Dynastic succession:** most political parties do not practise open and transparent procedures for their functioning; ordinary members have little information and little influence; leaders favour relatives, which is unfair to ordinary members and undermines democracy.
3. **Growing role of money and muscle power:** parties tend to nominate candidates who can raise money and win; rich people and companies exert influence; criminals have been in politics.
4. **Meaningful choice to voters:** parties do not offer much choice, as there are no big differences in policies; in some cases, leaders switch parties.

How Can Parties Be Reformed?

- **Anti-defection law:** The Constitution was amended (**52nd Amendment, 1985**; strengthened by the **91st Amendment, 2003**) to prevent elected MPs and MLAs from changing parties; defectors lose their seats.
- **Supreme Court order:** every candidate has to file an affidavit giving details of his or her property and criminal cases pending; the **Election Commission** made it compulsory for parties to hold organisational elections and file income tax returns.
- Suggested reforms: a law to regulate internal affairs; reservation of one-third tickets for women; **State funding** of elections to reduce use of money; and **people's pressure** through petitions, publicity and agitations; also, ordinary citizens can improve parties by joining them.

Quick Revision: Likely Exam Questions

Likely question	Model answer
Define a political party.	Group of people who come together to contest elections and hold power for collective good.
Name three functions of parties.	Contest elections, form governments, act as opposition.
What is a multi-party system?	Several parties compete and may share power, e.g. India.
Who recognises national and state parties?	Election Commission of India.
What is the anti-defection law?	Law disqualifying legislators who defect after being elected.
Name two challenges to parties.	Lack of internal democracy and role of money and muscle power.

Likely question	Model answer
Suggest one reform.	State funding of elections or compulsory internal elections.

★ KEY TAKEAWAYS

- Parties contest elections, form governments, play the opposition and shape public opinion.
- India has a **multi-party system** with alliances; ECI recognises **national and state parties**.
- Main challenges: **lack of internal democracy, dynastic succession, money and muscle power, lack of real choice**.
- Reforms include the **anti-defection law (1985, 2003)**, affidavits and compulsory income tax returns.
- Pressure from citizens, and citizens joining parties, can push parties to reform.

CHAPTER 17 · POLITICAL SCIENCE · CH 5

Outcomes of Democracy

Democracy is widely admired but also criticised. To judge it fairly we must ask what outcomes we can reasonably expect: a responsive, accountable government, economic growth and equality, accommodation of diversity, and the dignity and freedom of citizens. This chapter examines each expectation and the evidence from India and elsewhere.

Big Questions

- How do we assess the outcomes of democracy?
- Does democracy ensure accountable and legitimate government?
- What is its record on growth, inequality and poverty?
- How does it handle diversity and protect dignity and freedom?

How Do We Assess Democracy's Outcomes?

People expect a great deal from democracy, so they are disappointed by it. Democracy is better than other forms because it promotes **equality among citizens, enhances the dignity of the individual, improves the quality of decision making, and provides a method to resolve conflicts**. It also allows a mistake to be corrected. Outcomes should be judged against realistic expectations: democracy is a system of rules and methods, and what it delivers depends also on the citizens and the economy.

Area	What we expect	Reality
Accountable, responsive and legitimate government	Government that follows rules, is answerable to citizens, and has public support	Democracy should produce a government that is **accountable** and **responsive**; the record is mixed (better on free elections and open debate, weak on corruption and sharing information), but democratic government is certainly **legitimate**, as it is the people's own government
Economic growth and development	Higher growth	Between **1950 and 2000**, dictatorships had an average growth rate of about **4.42 per cent**, democracies **3.95 per cent**; the gap is small, and among poor countries it is almost nil (4.34 under dictatorship, 4.28 under democracy); growth depends on population size, global situation, cooperation from other countries and economic priorities
Reduction of inequality and poverty	Equality	Democracy is based on **political equality** (one person, one vote) but there is growing **economic inequality**; a few ultra-rich hold a large share of income while the poor struggle to meet basic needs; democracy has not reduced economic inequality much
Accommodation of social diversity	Peaceful handling of differences	Democracy usually develops procedures to conduct competition peacefully, as in Belgium; but it must not become rule by the majority community, and every citizen must have a chance to be in the majority at some time; Sri Lanka failed on this

Area	What we expect	Reality
Dignity and freedom	Respect for all, especially the weak	Democracy has strengthened the dignity of the individual; the dignity of women and the struggle against caste inequality shows the improvement

Accountable, Responsive and Legitimate Government

- Citizens have a right to examine the process of decision making, which is called **transparency**. A democratic government develops mechanisms for citizens to hold the government accountable and to participate when needed.
- The **Right to Information (RTI) Act** (2005) lets citizens ask government offices for information; in the textbook example, Nannu, a daily wage earner, used it to get his lost ration card replaced within a week after months of being ignored; this makes governments more accountable. Democracies, however, are weak at sharing information with citizens.
- Democracy may be slow, because decisions are taken after consultation; yet decisions are **more likely to be accepted** and carry **legitimacy**. The government is responsible for any mistakes, which can be reversed in the next election.

Economic Growth, Inequality and Poverty

- Between 1950 and 2000 dictatorships had a slightly higher average growth rate; democracy cannot be said to guarantee development, but it should not lag behind dictatorships, and it has other positive outcomes.
- **Inequality of income:** In democracies, the people at the top control a large share of national income (e.g. in South Africa and Brazil the top 20 per cent take over 60 per cent of national income, leaving less than 3 per cent for the bottom 20 per cent); in Denmark and Hungary the gap is far smaller.
- **Poverty:** The poor are a large part of the voters and no party wants to lose their votes; yet elected governments do not seem as keen to address poverty as expected. In Bangladesh more than half the population lives in poverty, and some poor countries depend on rich countries even for food.

Accommodation of Social Diversity

- Democracies usually develop a procedure to conduct their competition so that social divisions do not become explosive. **No society can fully and permanently resolve conflicts among different groups**, but we can learn to respect these differences and develop mechanisms to negotiate them.
- Democracy is best suited to this outcome, but only on two conditions: democracy is **not simply rule by majority opinion** (the majority must work with the minority), and majority rule must **not become rule by the majority community** of religion, race or language (Sri Lanka). The Belgian model shows accommodation.

Dignity and Freedom of the Citizens

- Democracy stands much superior to any other form of government in promoting dignity and freedom of the individual. Every individual wants to receive respect from fellow beings, and conflicts arise when some are denied dignity.
- **Dignity of women:** long struggles by women have made respect and equal treatment accepted as necessary in a democratic society; women are not always treated with respect in practice, but once the principle is recognised it is easier to struggle against what is now legally and morally unacceptable.

- Challenges: **caste-based inequality and untouchability** continue; but the democratic principle gives the dominated groups a strong moral and legal ground to challenge it.

Making Democracy Work

- Democracy's outcomes are not guaranteed: public participation, trust in institutions, a free press and civic awareness decide how well it works. People's own dissatisfaction is a sign of strength: it shows they are aware and can demand more from the system.
- Therefore the quality of democracy depends on **how we use it**; the fact that people complain and expect more shows democracy's success: it turns a subject into a citizen.

Quick Revision: Likely Exam Questions

Likely question	Model answer
Why is democracy legitimate?	It is the people's own government, with their participation and consent.
What is transparency?	Citizens' right to examine how decisions are made.
What does RTI Act 2005 do?	Gives citizens the right to seek information from government.
Does democracy ensure higher growth than dictatorship?	No; 1950-2000 average was 4.42% for dictatorships and 3.95% for democracies, and among poor countries 4.34% and 4.28%.
Which two conditions must a democracy fulfil to accommodate diversity?	It is not simply rule by majority opinion, and majority rule must not become rule by the majority community.
How does democracy handle diversity?	Through negotiation and accommodation, as Belgium shows.
Why is democracy better for dignity?	It treats all citizens as equal and empowers the weak to claim rights.

★ KEY TAKEAWAYS

- Democracy should be judged by realistic outcomes: **accountability, legitimacy, growth, equality, diversity and dignity**.
- It produces **accountable and responsive** government, strengthened by the **RTI Act (2005)**.
- Growth rates of democracies and dictatorships are close; democracies still struggle with **inequality and poverty**.
- Democracy **accommodates diversity** through negotiation and enhances **dignity and freedom**.
- People's dissatisfaction shows democracy is working; citizens must keep making it better.

CHAPTER 18 · ECONOMICS · CH 1

Development

Different people want different things from development, and what is development for one may be harmful for another. This chapter explains how development is measured through income and through other criteria such as health and education, how countries are compared, and why development must be sustainable.

Big Questions

- What are different people's developmental goals?
- How is development measured?
- How can income alone be misleading?
- What is the Human Development Index?
- Why is sustainability important?

What Development Promises: Different People, Different Goals

- Different persons can have different developmental goals; their aspirations depend on their situation. A landless rural labourer wants more days of work and better wages and a school for her children; a prosperous farmer wants a higher support price for his crops and a good education for his daughters, perhaps abroad.
- People seek **a mix of goals**: regular work, better wages, equal treatment, security, freedom, respect and a share in decisions. Not just income, but also **non-material things** such as freedom, security and respect are important.
- Because people's goals conflict, what is development for one may be **destructive for another**: building a dam may provide electricity to industries and cities, but those displaced may lose land and livelihood. So different persons may have different, even conflicting, goals; people look at their own and at **national development**.

Income and Other Goals

The commonly used criterion of comparing development of countries is **income**. Countries with higher incomes are more developed; the income of a country is the **total income of all the residents**, and the more useful measure for comparison is **average income** or **per capita income** (total income divided by total population).

DEFINITION

Per capita income (average income) = **Total income of the country / Total population of the country**. The World Bank uses it to classify countries: low-income countries have a per capita income of USD 1,035 a year or less, and high-income countries USD 12,616 or more (2019 classification, revised every year; India was in the lower middle-income group).

- Countries are compared by **gross national income (GNI)** per capita in US dollars with the purchasing power parity (PPP) so as to compare real purchasing capacity.
- **Limits of average income:** An average hides disparities. Example: Country A and Country B can have the same average income but in B a few people are very rich and the rest poor. The distribution of income matters, and the average does not tell how it is distributed among people.

- **Income and other criteria:** Money cannot buy everything. Income cannot buy a pollution-free environment or protection from infectious diseases unless the whole community takes action, so we need other criteria such as **quality of life**, safety, good health, literacy and public facilities.

Criterion	Why it matters
Literacy rate	Education gives people opportunities and skills
Infant Mortality Rate (IMR)	Number of children that die before age one for every 1,000 live births; shows health
Life expectancy at birth	Average expected length of life
Net Attendance Ratio	Percentage of 14-18 year olds attending school; indicates education access
Per capita availability of food, public facilities	Nutrition, ration shops, safe water, healthcare, schools

▸ Kerala and Haryana (a comparison)

Kerala has a lower per capita income than Haryana, yet Kerala has a much lower infant mortality rate and a much higher literacy rate than Haryana (Kerala's literacy rate is over 90 per cent). The reason is that Kerala has better **public facilities**: basic healthcare, schools, a well-run public distribution system and mid-day meals in schools. So money in the pocket is not enough; it is the **availability of public facilities** that makes a difference.

> **IMPORTANT**
> **Public distribution system (PDS)** provides food grains at subsidised prices; the **mid-day meal scheme** improves school attendance and nutrition. Where these work well, development in terms of health and education is higher.

The Human Development Index (HDI)

- The **UNDP** (United Nations Development Programme) publishes the **Human Development Report** each year, ranking countries on the **Human Development Index (HDI)**.
- HDI combines **three** dimensions: **health** (life expectancy at birth), **education** (mean years of schooling and expected years of schooling) and **standard of living** (per capita income, measured in PPP).
- Countries are ranked by HDI score, and **per capita income alone** does not decide the rank; some countries with lower income have a high HDI because they spend on health and education.
- **Human Development** compares states and countries in terms of the life people lead, i.e. their well-being, whereas income only shows how much money is available.

Sustainability of Development

- Development should not harm the environment for future generations: **resources are limited** and the present way of using them may not last. For example, **groundwater** is overused in many states of India, and in large parts of the country it is being drawn faster than it is recharged; crude oil, a **non-renewable** resource, is being consumed rapidly.
- Renewable resources, such as water, forests and solar energy, can be replenished but only if used within limits.
- The idea of **sustainable development** is that development should take place without damaging the environment, and development in the present should not compromise the needs of future generations.

The **Sustainable Development Goals (SDGs)**, adopted by the UN in **2015**, form an agenda for 2030 with 17 goals.

- Today, **ecological degradation** is not a gain for anyone; people's environment, a pollution-free air and water, is an important part of development, so development goals should include care for nature.

Resource type	Meaning	Example
Renewable	Replenished by nature if used carefully	Groundwater (with recharge), forests, solar energy
Non-renewable	Cannot be replaced once used	Crude oil, coal

Quick Revision: Likely Exam Questions

Likely question	Model answer
Why do people have different developmental goals?	Their situations and aspirations differ, and goals may conflict.
What is per capita income?	Total income divided by total population.
Why is average income not enough?	It hides how income is distributed and ignores health, education and environment.
What is IMR?	Deaths of children under one year per 1,000 live births.
Why is Kerala ahead of Haryana in human development?	Better public facilities like health, education and PDS.
What does HDI measure?	Health, education and standard of living.
What is sustainable development?	Development that meets present needs without harming future generations.

★ KEY TAKEAWAYS

- Development means different things to different people; goals can conflict.
- **Per capita income** is a common measure but hides inequality and ignores quality of life.
- **Public facilities** (health, education, PDS) matter as much as income; Kerala is a good example.
- **HDI (UNDP)** combines **health, education and income**.
- Development must be **sustainable**: protect resources for the future.

CHAPTER 19 · ECONOMICS · CH 3

Money and Credit

Money makes exchange easy, and credit (loans) lets people produce and consume more than they can afford today. This chapter looks at modern forms of money, how banks use deposits to lend, the difference between formal and informal credit, and how self-help groups help the poor.

Big Questions

- What are the modern forms of money?
- How do banks work?
- What are the terms of credit and sources of credit?
- How do self-help groups help the poor?

Money as a Medium of Exchange

- In a **barter system**, goods are exchanged directly for other goods; it needs a **double coincidence of wants**: what one person wants to sell is what the other wants to buy. Money removes this difficulty because it is accepted as a **medium of exchange**; the use of money makes it easier to exchange.
- **Modern forms of money: currency** (paper notes and coins) and **deposits with banks**. Earlier, grains and cattle were used; today, coins and notes are used. In India the **Reserve Bank of India (RBI)** issues currency notes on behalf of the central government; **no one in India can refuse a payment made in rupees** (legal tender); it is illegal for anyone else to issue them.
- **Deposits with banks:** People deposit extra cash with banks and can withdraw it when needed. Because it can be withdrawn on demand, such deposits are called **demand deposits**. Payment can be made through **cheques** (instructions to the bank to pay a specific amount), so deposits also act as money; cheque payment has the added advantage of less need for cash. Today the use of debit cards, UPI and online transfers is widespread.

NOTE

Money in the form of currency and demand deposits is accepted as a medium of payment, since it is **legally approved by the government**; deposits work as money because they are accepted widely, even though they are not legal tender.

Loan Activities of Banks

- Banks keep only about **15 per cent** of deposits as cash with them, as only a small fraction of depositors come to withdraw money on any given day. They use the major portion of deposits to extend **loans**, which meet the credit needs of various people.
- Banks charge a **higher interest on loans than they pay on deposits**; the difference between these rates is their main source of income.

Two Different Credit Situations

DEFINITION

Credit (loan) is an agreement in which the lender supplies the borrower with money, goods or services in return for the promise of future payment.

Credit can be useful: a shoe manufacturer who takes a loan for raw materials earns profit and can repay the loan; but credit can be a **debt trap** if the crop fails or income falls. A farmer who takes a loan and loses the crop may have to sell land to repay. Hence credit helps if the income from the loan is higher than the interest.

Terms of Credit

Term	Meaning
Interest rate	The amount to be paid on the principal
Collateral	An asset that the borrower owns (land, building, vehicle, livestock, deposits with banks) and uses as a guarantee until the loan is repaid; if the borrower fails to repay, the lender has the right to sell it
Documentation requirements	Papers to be submitted for the loan
Mode of repayment	Schedule and form of repaying the loan

Terms of credit vary across lenders and borrowers: **informal lenders** often charge a very high interest rate and take away produce or labour, while banks charge a fixed interest.

Formal Sector Credit in India

	Formal sector	Informal sector
Lenders	Banks and cooperatives	Moneylenders, traders, employers, relatives and friends
Supervision	**RBI** supervises: banks maintain minimum cash balance, give loans not only to profit-making businesses but also to small cultivators, small scale industries and small borrowers; they must report to the RBI on how much they lend, to whom and at what interest rate	No organisation supervises; they can lend at any rate
Interest	Lower	High; borrowers fall into debt-traps
Terms	Documents, collateral	Easy, personal contact, but exploitative

- Cheap and affordable credit is important for the country's development; there is a need to increase **formal sources of credit**, particularly for poor households; most loans of poor households come from informal sources, while rich households borrow mainly from the formal sector.
- Banks in the formal sector are not available in many rural areas and small borrowers lack collateral and papers; **cooperatives** also provide credit to farmers.

Self-Help Groups for the Poor

- Poor households, particularly women, find it difficult to get loans because they lack collateral. **Self-Help Groups (SHGs)** are small groups of 15-20 members, usually women of a neighbourhood, who pool their savings every month (Rs 25 to Rs 100 or more); loans are given within the group at a reasonable interest rate for purposes such as buying seeds or setting up small businesses; and after a period of regular savings, the group can borrow from the bank in its own name.

- Savings are used for members' needs; the group decides on the loan, interest and repayment; non-repayment is rare as the group monitors; **loans are small** and the interest goes to the group's savings. SHGs help to overcome the lack of collateral, and the **organisation** helps women to discuss social issues such as health, nutrition and domestic violence.
- **Grameen Bank of Bangladesh**, founded by **Muhammad Yunus** (Nobel Peace Prize 2006), is a large example of providing credit to the poor with no collateral; repayment rates are high.

Quick Revision: Likely Exam Questions

Likely question	Model answer
What is double coincidence of wants?	Barter needs each party to want what the other offers.
Who issues currency in India?	RBI, on behalf of the central government.
Why are demand deposits called money?	They can be withdrawn on demand and used for payments through cheques.
What is collateral?	An asset pledged as security for a loan.
Why is informal credit costly?	High interest, no supervision, risk of debt traps.
What is an SHG?	A group of 15-20 members who save together and lend to each other.
Who supervises formal lenders?	The Reserve Bank of India.

★ KEY TAKEAWAYS

- Money removes the **double coincidence of wants** of barter.
- Modern money is **currency and bank deposits**; RBI issues notes.
- Banks keep about **15 per cent** of deposits and lend the rest, earning from the interest gap.
- **Formal credit** is supervised by the RBI; **informal credit** is costly and exploitative.
- **Self-help groups** and the Grameen model give the poor credit without collateral.

CHAPTER 20 · ECONOMICS · CH 4

Globalisation and the Indian Economy

Globalisation is the rapid integration of countries through foreign trade and foreign investment. This chapter explains the role of multinational companies, the factors that enabled globalisation, India's policy shift in 1991, the role of the WTO, the impact on producers and workers and the call for fair globalisation.

Big Questions

- What is production across countries?
- What drives globalisation?
- What happened in India after 1991?
- Who gains and who loses?
- How can globalisation be made fair?

Production Across Countries

DEFINITION

A **multinational corporation (MNC)** is a company that owns or controls production in more than one nation. MNCs set up offices and factories for production in regions where they can get cheap labour and other resources, which reduces their cost of production and raises profits.

- Earlier, production was largely organised within countries; goods and services only crossed borders in the form of trade, and markets were mostly local. Now **production is spread across countries**: MNCs split production into parts across locations to cut costs, as with a company that designs in one country, assembles in another and sells everywhere.
- MNCs spread their production in several ways: **setting up their own factories**, **buying** local companies, **partnership** (joint production) with local companies, giving **orders to small producers**, whose products they then sell under their own brand name, and **outsourcing**. Big MNCs hold great power over small producers, who must keep prices and quality as dictated.
- **Foreign Direct Investment (FDI):** investment made by MNCs in the country in factories, machines and offices. MNCs invest where the market is large, labour is cheap, infrastructure is good and government policies protect their interest. Investment by MNCs is an important way in which countries are being connected.

Interlinking of Production and Markets

- **Foreign trade** is the main channel connecting countries: goods produced in one country reach markets of other countries, giving consumers more choice and exposing local producers to competition from imports.
- Prices of the same goods in different markets move closer together, and producers in different countries compete.

What Made Globalisation Possible?

1. **Technology:** rapid improvement in transportation (containers, cheaper shipping and air cargo) and in **information and communication technology (IT)**, such as telecommunication, computers and the

internet. Services like call centres, data entry, accounting and engineering can be done from anywhere (**outsourcing**).

2. **Liberalisation of foreign trade and foreign investment policy:** removal of barriers set by the government.
3. **Pressure from international organisations:** the World Trade Organisation and the IMF and World Bank pushed developing countries to liberalise.

> **IMPORTANT**
> **Trade barriers** are restrictions on trade, such as a **tax on imports** (tariff) or a limit on the number of goods that can be imported (**quota**). Governments can increase or decrease trade barriers. Removing barriers is **liberalisation**.

- India put barriers on foreign trade and investment after independence, to protect domestic producers from foreign competition; imports were allowed only for essential items such as machines, fertilisers and petroleum.
- In **1991** India adopted **new economic policy (liberalisation, privatisation and globalisation)**: removal of many barriers; quantitative restrictions on imports were removed by 2001; the government reduced taxes on imports; **Special Economic Zones (SEZs)** were set up with world-class facilities such as electricity, water, roads and tax holidays to attract foreign companies.
- The **World Trade Organisation (WTO)**, established in **1995** at Geneva, is an organisation whose aim is to liberalise international trade; it sets rules for international trade and sees that they are followed. Over 160 countries are members. In practice, developed countries have kept their own barriers, e.g. on agriculture, while asking developing countries to remove theirs.

Impact of Globalisation in India

Group	Impact
Consumers	Wider choice of goods, better quality and lower prices, especially for the well-off urban
Large Indian companies	Gained: invested in modern technology, collaborated with foreign companies; some became MNCs themselves (**Tata Motors**, **Infosys**, **Ranbaxy**, **Asian Paints**, **Sundaram Fasteners**)
Service providers	IT, BPO and call centres grew; software, accounting and legal services are exported
Small producers and workers	Many small producers (batteries, capacitors, plastics, toys, vegetable oil) lost out because of competition from cheap imports; workers lost jobs; jobs became more **flexible**, with temporary workers hired and lower wages

Globalisation has created new opportunities for companies providing services; some producers and workers have not shared the benefits equally.

The Struggle for a Fair Globalisation

- Globalisation has benefited well-off consumers and skilled and educated producers, but a large number of small producers and workers have not benefited. **Fair globalisation** would create opportunities for all and ensure that the benefits are shared better.
- The government can ensure that **labour laws** are properly implemented and workers get their rights, support small producers to improve performance, negotiate in the WTO for **fairer rules**, and form alliances with other developing countries.
- Unions, **mass movements and campaigns** in the world have taken up issues about the working conditions and fair prices.

Quick Revision: Likely Exam Questions

Likely question	Model answer
What is an MNC?	A company owning or controlling production in more than one country.
What is FDI?	Investment by MNCs in factories, machines and offices abroad.
What is liberalisation?	Removal of government barriers to trade and investment.
What is a trade barrier?	Tax or quota on imports.
What are SEZs?	Zones with world-class facilities and tax benefits to attract investment.
What is the WTO?	Organisation (1995) that sets and enforces rules for international trade.
Who lost from globalisation?	Many small producers and workers facing cheap imports.

★ KEY TAKEAWAYS

- **MNCs** spread production across countries through investment, partnership, outsourcing and orders.
- Globalisation grew with **technology**, **liberalisation** and pressure from international bodies.
- India liberalised in **1991**; **WTO** formed in 1995; **SEZs** attract investment.
- Benefits have been uneven: big firms and services gained, small producers and workers faced pressure.
- A **fair globalisation** needs better rules, labour protection and support for small producers.

CHAPTER 21 · ECONOMICS · CH 5

Consumer Rights

In a market, a buyer is often in a weaker position than the seller. Rules and organised action protect consumers. This chapter explains how consumers are exploited, how the consumer movement developed in India, the consumer rights and the redressal machinery under the Consumer Protection Act, and how an aware consumer can act.

Big Questions

- How are consumers exploited in the marketplace?
- How did the consumer movement begin in India?
- What are the consumer rights?
- How can consumers seek redressal?
- How can consumers become aware?

The Consumer in the Marketplace

- In markets, **consumers** are exploited in many ways: **short weights and measures**, selling at **higher than the printed price**, **adulteration**, **sale of defective goods**, **false and misleading advertisements** and poor after-sales service. Examples: a customer finds in a packet less weight than printed; harmful ingredients are hidden.
- Producers are few and powerful; individual consumers are many and scattered with less information. Consumers may also get **lured by misleading advertising**.
- The **Consumer Protection** movement and law aim at making the market fair: rules and regulations are needed to protect consumers and a way to enforce them.

Consumer Movement in India

- The consumer movement arose out of dissatisfaction of consumers with unfair practices of sellers: hoarding, black-marketing, adulteration of food and edible oil. The movement made progress after the **1960s**; the consumer groups wrote articles, visited ration shops and exposed them. Till the 1970s, consumer organisations were involved in writing articles and holding exhibitions.
- In **1985**, the **UN General Assembly adopted the UN Guidelines for Consumer Protection**, a tool for nations to adopt measures to protect consumers.
- In India, the **Consumer Protection Act (COPRA), 1986** was enacted after great effort by consumer groups; it set up the **three-tier quasi-judicial machinery**. The Act was replaced by the **Consumer Protection Act, 2019**, in force from **July 2020**. **National Consumer Day is observed on 24 December**, as the COPRA of 1986 was enacted on this day; **World Consumer Rights Day is on 15 March**.
- A consumer forum or association guides consumers, and may represent consumers in the consumer courts. **ISI, Agmark, Hallmark** and **ISO** are standard marks; the **Bureau of Indian Standards (BIS)** develops standards.

Mark	Used for
ISI	Industrial products (BIS standard)
Agmark	Agricultural products such as edible oil, ghee, spices

Mark	Used for
Hallmark	Purity of gold jewellery
ISO	International standards for management and quality systems

Consumer Rights

Right	Meaning
Right to safety	Protection against goods and services hazardous to life and property, e.g. defective electrical goods, medicines, unsafe LPG cylinders; producers must follow safety rules
Right to be informed	Details of ingredients, price, batch number, date of manufacture, expiry date and manufacturer's address; the right to get information about goods and services; **RTI Act (2005)** gives information on government services
Right to choose	Freedom to choose from a variety of goods at competitive prices; no seller may force a buyer to purchase an item in a bundle
Right to represent (to be heard)	Consumers' interests are given due consideration in the forums, and consumer groups can be heard
Right to seek redressal	Compensation against unfair trade practices and exploitation; refund, repair or replacement
Right to consumer education	Knowledge and skills to be an informed consumer throughout life

Redressal: How to Get Justice

- Under the Act of 1986 a **three-tier quasi-judicial** machinery was set up at **district, state and national** levels: the **District Forum, State Commission and National Commission**; under the 2019 Act, they are called **District, State and National Consumer Disputes Redressal Commissions (NCDRC)**. A consumer who feels cheated can file a complaint (with documents such as bill and warranty); lawyers are not mandatory.
- **Pecuniary jurisdiction (under rules of 2021):** a District Commission handles cases up to Rs 1 crore; a State Commission above Rs 1 crore up to Rs 10 crore; the National Commission above Rs 10 crore. If dissatisfied with the district order, a consumer can appeal to the State Commission and then the National Commission.
- The **Consumer Protection Act, 2019** established the **Central Consumer Protection Authority (CCPA)** to protect rights, deal with misleading advertisements and unfair trade practices, and covers **e-commerce**, product liability and mediation. A consumer can also file a complaint online.
- A consumer cannot always get redressal quickly: cases are often delayed, cost of litigation, and lack of evidence; **consumer awareness** is needed to make the movement effective.

Becoming an Alert Consumer

- Know your rights; **ask for a cash memo or bill** and keep the warranty card; check the **expiry date, MRP and standard marks** (ISI, Agmark, Hallmark) before buying; compare products; do not be misled by advertisements; **report** exploitation to a consumer forum.

- Consumer awareness also needs consumers to act as **responsible citizens**: avoiding waste and protecting the environment. Consumer groups, the media and the government should work together; the consumer movement is effective only if consumers are active.

Quick Revision: Likely Exam Questions

Likely question	Model answer
Why are consumers exploited?	Poor information, scattered buyers and powerful sellers.
Name six consumer rights.	Safety, information, choice, representation, redressal and consumer education.
When is National Consumer Day?	24 December.
What is the three-tier machinery?	District, State and National Commissions.
What does ISI mark show?	Standard of quality for industrial goods, set by BIS.
What is Agmark?	Quality mark for agricultural products.
What is the CCPA?	Central Consumer Protection Authority under the 2019 Act.

★ KEY TAKEAWAYS

- Consumers are exploited through **adulteration, short weights, high prices and misleading ads**.
- The consumer movement led to **COPRA 1986** and the **Consumer Protection Act 2019**.
- Six rights: **safety, information, choice, representation, redressal and education**.
- Redressal is through **District, State and National Commissions**; the **CCPA** acts on unfair practices and e-commerce.
- An alert consumer asks for bills, checks marks (**ISI, Agmark, Hallmark**) and reports malpractice.